

BIGGER IS BETTER

The country's market capitalisation to-gross domestic product (GDP) ratio, a key measure of gauging acceptance of financial products, rose to 136% in December 2024 from 77% five years ago as the 2020 Covid-19 pandemic changed the way Indians traded and invested.

Fuelled by online trading platforms and live television coverage, India's financial ecosystem will become bigger, deeper and better in the coming years as a vibrant economy of 1.4 billion people taps into a reservoir of capital to fund growth.

Financial institutions such as stock exchanges and the banking, financial sector and insurance (BFSI) sector will continue to play a pivotal role in shaping India's economic trajectory by facilitating savings, investments and credit for expanding corporate entities.

At the same time, Indians will see financialisation of their assets as they diversify further into equities, bonds, thematic funds, international investments.

India's booming initial public offerings (IPO) market will expand further. Already, wholly-owned multinational corporations (MNCs) such as South Korea's Hyundai Motor are using Dalal Street to float a part of their Indian subsidiaries in the stock markets. And in the pipeline in 2025 are IPOs worth ₹50,000 crore from companies such as HBD Financial Services Ltd, online grocery delivery company Zepto and boAt, a start-up selling high-end earphones and digital watches.

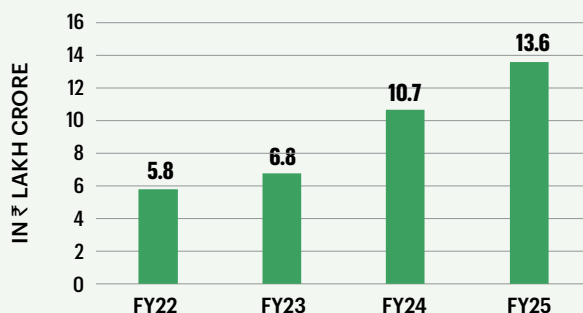
Traditionally, IPOs have been a source of immense wealth creation and each decade throws up its own blue chips. The years between 2000 and 2010 saw the listings of Bharti Airtel Ltd, Maruti Suzuki Ltd and Tata Consultancy Services Ltd, among others. These three stocks are now a part of the benchmark Nifty index and have created multi-bagger returns for first-time holders.

The decade of 2010-2020 saw blockbuster listings of government-owned companies such as Indian Railway Catering and Tourism Corporation Ltd (IRCTC), Rail Vikas Nigam Ltd (RVNL) and private players like

The number of investors opting for the stock markets is set to rise as time deposits offer meagre returns

INCREASING DEPTH

SIP AUM



SOURCE AMFI, ECONOMIC SURVEY 2024-25

Polycab Ltd, India's largest maker of wires and cables.

True, there are many IPOs that flunked; there are several that fell below ethical governance standards and quite a few that bombed. Well, that's the capital markets for you! The markets have their own way of self-regulating excesses and only letting the best survive over the long term.

BYE BYE MUMBAI, HELLO KOCHI

Deep pocketed investors from small towns and villages have made their presence felt increasingly on Dalal Street thanks to rapid digitisation of stock markets and the advent of online opening of demat and trading accounts. This trend started with the pandemic.

With nothing much to do, they went en masse to the waiting arms of stock markets. As a consequence, demat accounts surged 33% on year to 185 million units by December 2024 and a vast majority of these new entrants were not from mega cities such as Mumbai, Ahmedabad and Delhi, but from the likes of Varanasi, Kochi and Patna.

The explosion of financial content on social media have given birth to millions of intra-day traders who punt heavily on index futures of Nifty and Bank Nifty. In fact, weekly options on Bank Nifty, an index made up of 12 lenders, became the top traded financial instruments globally, until recently when the Securities and Exchange Board of India (Sebi), the market regulator, stepped in to curb excessive speculation.